AI | Expert Insights

COMPANY DEEP-DIVE

Former Director of Partner Services at Crescendo Believes AI Automation and Outcome-Based Pricing Implementation Faced Significant Challenges

DATE PUBLISHED	INTERVIEW DATE	EXPERT PERSPECTIVE	ANALYST PERSPECTIVE	PRIMARY COMPANY
22 Oct 2026	24 Jul 2026	Former	Investor-Led (Buy-Side)	CRESCENDO

SMART SUMMARY

Summary

The interview covered the challenges and outcomes of implementing AI automation and outcome-based pricing in a BPO environment, including operational, financial, and competitive dynamics. Discussion included contract structures, client conversion, performance metrics, and the impact of competitors in the AI-enabled customer service space.

EXPERT BACKGROUND

- Former Director of Partner Services with 10 years of experience across two merged BPO companies, overseeing operations, client contracts, and the implementation of AI-driven automation in customer service environments.

EXPERT SENTIMENT

- The expert expressed that **the transition to outcome-based pricing and AI automation was rushed and poorly executed, leading to significant operational and financial challenges**.
- They felt that **the company prioritized being first to market over careful planning, resulting in widespread client dissatisfaction, declining** margins, and unresolved systemic issues.
- By the time of their departure, **the expert described the company atmosphere as 'dark,' with a sense of impending crisis and little optimism for recovery**.

TAKEAWAYS

- The company shifted from traditional per-FTE pricing to outcome-based, volume-driven contracts, primarily targeting email and text channels for AI automation.
- AI containment rates for email started at 30-40% and improved only for clients with robust, well-documented knowledge bases; complex or poorly documented cases performed poorly.
- **Aggressive discounting was used to win clients over to the new model, but this eroded** margins, especially when AI failed to deliver promised efficiencies, leading to backlogs and client dissatisfaction.
- Operational metrics such as CSAT, first response time, and **resolution time declined sharply due to backlogs and pressure on agents**, with some improvement only when staffing was increased again.
- Competition from incumbents like Intercom and Zendesk was strong due to their integration and data access advantages, while **newer AI-only competitors like Kodif and Decagon were also encountered but often lost on price**.

AlphaSense Assistant is AI Generated

Table of Contents

Introduction and Initial Discussion

Pricing Structures and Client Onboarding

AI Implementation and Communication Modalities

Challenges in AI Deployment and Containment

Outcome-Based Pricing Model Issues

Performance Metrics and Client Satisfaction

Volume-Based Pricing and Client Dynamics

Geographical and Industry-Specific Insights

Competitive Landscape and Market Position

Reflections and Future Outlook

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Expert Bio

Former Director of Partner Services at Crescendo, leaving May 2026. The expert was responsible for global service delivery portfolios across LATAM, APAC, and EMEA, with ownership over client operations, performance management, AI-enabled transformation, and cross-functional execution. The expert led multi-region portfolios comprised of over 400 associates and 50 teams across verticals including eCommerce, FinTech, SaaS, edTech, and Hospitality/Food Service. The expert managed operational performance across CSAT, AHT, utilization, backlog, QA, and service delivery health, while supporting margin and COGs analysis and staffing recommendations. The expert can speak to global service delivery operations, AI-enabled transformation, portfolio management, and customer experience optimization. The expert has deep experience driving operational performance across LATAM, APAC, and EMEA, building executive reporting rhythms and KPI tracking mechanisms, and partnering cross-functionally with operations, customer success, finance, QA, workforce management, and product teams.

Interview Transcript

Client 00:00:00

I am interested in AI and call centers and aware that Crescendo is one of the pioneers in the space, taking AI, having call centers, and automating the work there. Your experience there is very helpful to us. I saw your responses to our questions, which are very helpful. I'd love to dig through in more detail, maybe starting with the conversion process with customer contracts, and especially moving from a per FTE basis to something more outcomes based.

Expert 00:00:33

For sure. That process was very interesting because this standard BPO model has always been that head count model, where we have a specific rate that we provide to so many customers. That rate covers any COGS for associates, and all that. That's how basically BPO makes an earning. Just to put out a number there, we give out a rate of $3,000 per head count. That covers everything. Let's say that we have a gross margin of $1,000. That's how we make the profit.

Client 00:01:07

That's per month?

Expert 00:01:09

That's correct. That's a per head count per month basis. There are multitude types of contracts, yearly, whatever, but generally, the one, it's monthly. The thing about the outcome-based pricing is that it's based entirely on the output of whoever is providing the service. If you're doing 100,000 contacts or outputs a month, then there's a specific rate that is applied per output or per contact. We are no longer talking about associates or agents, but more about, "How many outputs can we provide to the client?" Now, of course, internally, that means that if we're going to produce 100,000 contacts a month, then we need X amount of agents that will be able to fill that output.

In the contract, it's more around that. Now, where **it gets a bit tricky** is understanding whether we have sufficient staffing for that. We need forecast. We need volume. We need intervals, and all that. The BPO is the one that makes the determination of how many agents we need to staff to the client. The one thing that **it gets tricky** is that clients are very accustomed to, "We need five agents, and we are the ones taking control of the decision of how many agents do we need." With outcome-based pricing, that changes entirely. The BPO is the one that makes that determination. Some clients like it, some others do not.

Client 00:02:38

Got it. I think one of the more interesting things is, first of all, how you came up with the pricing structures internally, but then just as importantly, got clients on board with it and started the conversation and eventually got some clients to move over. Maybe starting with the internal process, what did that look like? Obviously, there's this vision. You've got really good technology. You can help to automate and improve efficiency on calls, so you want to make sure that you get some of the benefit of that. How do **you start translating that into the model, given all of that uncertainty**, that you realize that you're moving from a very comfortable markup model having to really do some math?

Expert 00:03:25

You mentioned the word interesting, and that's where **it got tricky**. Let's start with the legacy type of clients. They had the standard rate. That's the pricing that we based it off because of what I mentioned at the beginning, COGS pricing, and all that. The thing is that because the AI and the tech was implemented, not all the clients were comfortable enough in that the AI would be able to resolve all their contacts.

What the sales or contracts team did is that they started giving out 10% discounts, 20% discounts just to get that client on board in using the AI. Once we got people on board, the pricing was determined per contact. It was $1 per contact or whatever you want to put the price on it, and of course, always having the basis of what's going to make a profit internally, whether that is the cost of deploying the AI or staffing the agents.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Client 00:04:19

It doesn't sound like the company came up with pricing and then rolled it out. It sounds like you were figuring it out on a per client basis.

Expert 00:04:31

That is correct. There was no standard pricing that was sent out to clients, but it was more about, "This client gives us an 800,000 annual revenue. Let's do pricing based on that."

Client 00:04:44

Got it. That makes **things very difficult** for the team to have to do that again.

Expert 00:04:50

It does.

Client 00:04:51

Got it. I want to get to more detail on those client discussions. You mentioned that they are not necessarily comfortable with AI being able to handle the contacts. First, on the point of the contacts, what was the unit of work that most people liked to think about? I'm assuming in my mind that most of these are calls, probably inbound calls of customers calling in, wanting some issue resolved. Is that a good model for the work, or were you performing tasks like data import, or were you handling outbound calls? Just help me understand the unit of work standard.

Expert 00:05:31

Yeah. It was purely CX work in the sense of a customer or the client calls in, and our team handles it. The type of work was, as you mentioned, inbound calls, but the majority and the bigger pool of clients that we had were email channels. It was not live channels in terms of chat and calls, but more around email channels. We did have some clients that had live channels, chat, and phones, but the AI was not sophisticated enough to completely handle those calls. Once it hit a stint, then that's where it got routed to one of the agents.

Client 00:06:05

Got it. Most of the work that was being done is inbound text. It's email basically.

Expert 00:06:13

Yup. Think more about containment. What the AI did was more of a containment rate, and then the more complex and complicated type of work got transferred over to the agents.

Client 00:06:25

Got it. That is actually a pretty meaningful shift for me. I was assuming it was inbound voice calls, but actually, you're saying that the bulk of volume and the bulk of automation was targeted towards inbound email and text communications.

Expert 00:06:40

Correct. As the model got more and more sophisticated and all that, we did start to have more inbound calls. At the beginning, it was mainly email and a bit of chat.

Client 00:06:53

Maybe let's cover the modalities one by one. On the email side, it sounds like the AI was reasonably able to handle that. Do you have an idea of what containment rates looked like?

Expert 00:07:04

At the beginning, I would say that the majority of the models that I saw were around oscillating between 30%-40% of containment rates.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Client 00:07:13
Got it. Do you know if it got a lot better from there to over half or anything like that?

Expert 00:07:21
Depends on the client. That's where **the AI got a bit tricky** because it also depends on the amount of knowledge bases, the amount of SOPs, and the amount of information that each client had. If a client had a large base of knowledge articles, SOPs, the AI got better instantly. For those clients that dealt with more complex type of tasks or didn't have sufficient knowledge bases, **it actually got worse** because the AI agent could not understand the context of what the customer was saying. Customers got angry, and they were like, "No. Let's just have humans work on that."

Client 00:07:56
Got it. It sounds like even at the end, it was more the simple use cases that were well-documented that did well. Either the documentation was not sufficient, then the AI would perform poorly, or if the AI documentation was sufficient, but it was complex, the AI still was not able to really handle it.

Expert 00:08:16
That is correct.

Client 00:08:17
Got it. That was true even around the time you left a couple of months ago.

Expert 00:08:22
That is very true. There's one particular client that we launched the AI in January 2025, and up until February 2026. They weren't even able to deploy because of the complexity.

Client 00:08:37
Got it. That's email. That's going to be the easiest of all of these. It sounds like it worked at best for just the simple cases.

Expert 00:08:49
Yes.

Client 00:08:50
Got it and then chat. **Chat is going to be a lot tougher**. You have a response time expectation that pulls in by 100X or more. If you got a couple hours or even days to respond to an email, chat, you need to respond within seconds or minutes at most. How did that go? How many of these were there, first of all?

Expert 00:09:15
I would say that **it went surprisingly well**. I wouldn't say that it was perfect right off the bat, but it did go well because it was still that text type of channel. The AI could still resolve those queries and all that. It did take a bit more sophistication to do both. Because it was still text, the AI still did well. It was pretty much the same idea. Depending on the amount of knowledge that the AI was fed, that was the quickest type of response. On the background, engineers laid out all the prompts, all the guardrails, all the rules. If there was something in the chat that the AI didn't know how to answer, it immediately got routed to an agent.

Client 00:09:59
Got it. You said the text channels went well. My takeaway from email was that it went well in a limited number of cases, but **it didn't go that well overall**. What you're comparing to is voice, where it sounds like it did not go well. Is that a fair characterization? I still understood email correctly, that there were some cases where it worked quite well, but there were a lot more where it failed.

Expert 00:10:27
Correct.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Client 00:10:28
Okay. If I think about the mix between email, chat, and voice, what was the approximate split between those? That could be the number of customers, the amount of revenue, the amount of volume. Just help me get a sense for where the work was being focused.

Expert 00:10:47
I would say over 50% email and then under 25% for both chat and voice.

Client 00:10:53
How much of the email volume would you say went well and was 40% containment or higher?

Expert 00:10:59
No. I would say that 70%-80% of everything that we received through email went well. Again, it was more about those very complex types of products itself that didn't go well.

Client 00:11:12
Got it. On the chat side, comparable?

Expert 00:11:15
If I say 80% on email, I would say 60% chat.

Client 00:11:21
Got it. Let's move on to voice, which I think will be the fun one. How did voice go?

Expert 00:11:28
Not so well, but mainly because of the transcripts. The transcript model, **it was tough at the beginning** because of how the AI was being fed the information. The majority of calls just got routed to an agent because of that. In the transcripts, you just literally read that the customer said, "Agent, agent," multiple times because the model was not being able to transcribe well what that was saying. Because the AI model was analyzing that transcript itself, and that transcript was not done correctly, it just went in a loop.

What I can say what went well in voice were the IVR type of systems, not precisely an AI solving the problem, but more of an AI understanding what the client needed and then routing it to the agent. The agent had already sufficient information to know what the customer needed, but not the AI solving the issue on its own.

Client 00:12:24
Got it. Same question for voice, how much containment was possible? If it's really just routing, does that even get measured as containment?

Expert 00:12:36
Yes, but I don't know the exact figure. I would be lying on that one.

Client 00:12:42
It sounds like this one just overall did not go as well, so it's going to be significantly under 60% as a success, no matter how you measure that.

Expert 00:12:51
Yeah.

Client 00:12:53
Got it. If I think about the mapping, this was more of where you tried automation. Before the automation, I know that Crescendo bought a business called PartnerHero. What was the split of work there? Was it similar of 60/20/20, or was it different?

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Expert 00:13:13
On the work that PartnerHero was doing?

Client 00:13:16
Yup.

Expert 00:13:18
When Crescendo bought PartnerHero, there wasn't any type of automation. It was 100% done by the agents.

Client 00:13:26
I didn't mean the automation, just more so the work that the agents were already doing. Was it also the same split of email, chat, and voice?

Expert 00:13:36
Yes. Again, it depended on the client. For the majority of them, yes, that figure looks correct.

Client 00:13:45
Got it. That gives me a much better baseline for understanding everything that we were talking about. Unit of work, for the most part, was actually about communication. Was that at the level of an individual customer ticket, or was it more of every email being sent?

Expert 00:14:03
More about every email being sent.

Client 00:14:06
Interesting. What the model ultimately moved to was a price per email.

Expert 00:14:11
Yes, because it is per contact. It's not per resolution, but per contact.

Client 00:14:19
Interesting. Was there any idea of, sometimes, you need to write a really long, like 500-word email, versus sometimes, it will just be, "Thank you," or something very short? Was it just you assume that it averages out over time, keep it simple?

Expert 00:14:37
It was more of the simple ones.

Client 00:14:40
Got it. I'm piecing together that **this was a somewhat difficult process because it's hard** for even the Crescendo team to know what the pricing should be, and then, of course, they have to communicate to the client and get them convinced. Is that a fair characterization, or was there something that someone figured out of like, "Hey, **this is actually smooth**"?

Expert 00:15:02
No. It's more on the first one. What made **it tricky** is that because of the number of clients that we had, there were a ton of different type of processes. I know that. The calls, when talking about pricing, our team did not sound that confident. Of course, that made **the client apprehensive** about, "Do these people really know what they're talking about?" When those clients maybe push back or anything, that's where the aggressive discounting started like, "If you're not on board with that pricing, we can give you a 20%, 30%, 40% discount." They were like, "Oof. We're going to take it because **it would be nonsense not to take a 40% discount," but it didn't go well**.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Client 00:15:47

It didn't go well because it was just once you showed a little bit of blood, they just came back for more?

Expert 00:15:53

Yes, and also because our engineering team underestimated maybe the complexity of some of the processes. They promised that they were going to deploy the AI in six months, and it took them a year to do so. That's where the client came back and said, "Well, give me another discount because we have this amount of tickets in the backlog, and **we have this amount of angry customers**."

Client 00:16:16

Wow. That last point, I'm surprised by because I would have assumed that you would want to keep the staffing where it was, to at least keep all of the performance metrics where they were before. How did a backlog form?

Expert 00:16:31

Because of the containment rate, it was assumed that X amount of agents were not needed, and then they were reallocated to other teams. When **the AI started to fail**, we didn't have sufficient amount of staffing to tackle the amount of tickets that were not contained by the AI because the AI was not deployed.

Client 00:16:49

It doesn't really sound like almost anything went right in that process because the way this should go is that you have a very good idea of how to automate something. You have a good idea of the result that will come out of that. You test it. You make sure that that's right. You come to an agreement with the client of what should go going forward, and then you share in the economics of it. It sounds like essentially none of that happened.

What happened was, based on a guess, the team went out and promised something to the customer, then it didn't work out. They had to discount it further, and it sounds like probably **no one was happy** here. **I doubt if you actually made** any money from it because if you're at a 20%-40% discount, that's your entire containment right there. **The customer is also not happy**. Performance metrics went down.

Expert 00:17:44

Yeah. **Gross margin did tank** heavily after all that. It started to go down because of the discounts. There were some teams that did not reduce the staffing because of how poorly the AI was. We had to keep the agents. Nonetheless, now, the monthly invoice was at the discounted rate, which meant that the COGS cannot reduce because we cannot lower the agent's salary. The COGS kept the same, but **the monthly revenue went down because of that**.

Client 00:18:15

That's not good, same flat costs. If anything, **the cost would be higher** because now, you're actually running AI, which costs a meaningful amount to run, and then the invoice coming in is at anywhere from a 10%-40% discount.

Expert 00:18:31

Yes. There were **some penalties towards us** as well. If some SLAs or KPIs were not met, we also had to credit back the client on the amount of contacts that were not outputted. There were also a lot of credits given on that.

Client 00:18:47

Got it. If you don't mind my pausing for a moment, this sounds like a barrel full of monkeys. Is this as bad as it's sounding to me right now?

Expert 00:18:59

Yeah. **The thing here is that there was a lot of pressure** of being the first into an OBP model, outcome-based pricing model, in the industry. Because of that, we wanted to have a large number of clients on board, and then the tactic to get clients on board was to offer all of those discounts.

Client 00:19:18

I'm sorry. I missed the first word.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Expert 00:19:23

To be the first in the BPO industry to catapult that type of OBP model with AI. Because of that aggressiveness, we had to provide all those discounts to get those clients on board.

Client 00:19:35

Got it. There's definitely a rush, but you hesitated generally for my question of, "Does **this sound as disastrous** as I'm thinking?" Are you saying that after that initial push, there was more of a recovery and like a, "Okay. Let's do this at a more normal rate"?

Expert 00:19:54

I'll say that **2025 was definitely a messy year**. Q1 of 2026, things started to look a bit more stable if I want to use that word. There wasn't that much change in overall strategy of the company.

Client 00:20:07

Got it. When you say stable, it's less everyone running around with their hair on fire trying to convert things and having problems all over the place. Were the problems actually resolved? Did **it come out of the unfortunate loop of having costs** largely be high and all of the discounts coming down, maybe the cost started to actually come down a little bit as performance improved?

Expert 00:20:33

It did not. It was more about, "Le**t's tackle the ongoing issues** that we have," and not precisely more on getting more clients on board.

Client 00:20:43

Okay. Focus on fixing what's broken versus more growth.

Expert 00:20:48

Yes.

Client 00:20:49

It sounds like at least there was some progress towards realizing the containment and performance that was wanted, even if **it was still worse** than it started out.

Expert 00:20:58

There was a progress in understanding the root causes of where the mess was coming from. There wasn't a change in the actual root cause of why **the mess** was happening, that it was the discounts and contracts.

Client 00:21:12

You know where the problem is, but you haven't fixed it yet.

Expert 00:21:15

Correct. The commercials did not change because of that strategy of being in that type of model. Commercials didn't change. There was more of, "Let's see what costs we can reduce," but not changing that contract.

Client 00:21:30

Got it. People are trying to figure that out but haven't yet.

Expert 00:21:35

Correct.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Client 00:21:36

Got it. We talked about the financial side of things, that invoice amounts came down while costs were flat to up for the most part, maybe down in some cases. You also mentioned a lot of the call performance metrics like CSAT, AHT, and efficiency metrics like utilization and backlog. CSAT, AHT, and QA and service delivery health, maybe let's go through those first. It sounded like those declined pretty dramatically over the period.

Expert 00:22:06

Yes. The ones that take the biggest hit were the ones that were around SLAs, so FRT, total resolution time, and all that because of the growing backlog. Because we had more backlog, **agents were more pressured into dispatching those emails** or call more quickly. Therefore, **QA took a hit** because the agents were not having sufficient amount of time to actually dig deep and resolve the customer's issue. Because our customers were not getting resolved, **they were not happy,** and that affected CSAT.

Client 00:22:40

Got it. Why didn't the agents have enough time? Sorry, I didn't follow.

Expert 00:22:46

Because of the backlog. There was **more pressure to the agents** to resolve the calls and issues more quickly.

Client 00:22:54

Got it. The backlog was just because **containment didn't reach performance metrics**.

Expert 00:23:01

That's correct.

Client 00:23:02

Did the backlog ever get cleared? I think **I am seeing the problem** if you actually drew back in terms of the amount of capacity and you built a giant backlog, and then you never dug out of it. I can see why everything would stay bad. Is that what happened?

Expert 00:23:19

Two things happened to resolve some client issues. Not all clients got that result, but the ones that did get resolved, two things happened. It got better, or there was an increase in staffing back again. Let's say three FTs that were reduced got rehired.

Client 00:23:39

Got it. It's not that there was no improvement over the period. **Some of them actually did manage to get to a better spot, but the overall problems** are still there, and there's no systematic solution to it.

Expert 00:23:51

Correct.

Client 00:23:52

Got it. First response time and total resolution time were the things that were hit the hardest, and then, of course, **CSAT fell out of that** as well. It sounds like **average handle time was forced** down, but not to a good result.

Expert 00:24:09

Correct. Lower average handle time meant more tickets resolved. More tickets resolved meant more revenue.

Client 00:24:17

Got it. It sounds like they weren't properly resolved for the customers, which then hit CSAT.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Expert 00:24:25
Correct, and QA.

Client 00:24:27
Got it. In this case, the unit of work was the ticket. Actually, I want to pause on that because we were talking earlier about email being the majority of the unit of work that was being measured. Was there a bigger price for resolution, like closing a ticket?

Expert 00:24:45
What do you mean?

Client 00:24:46
Previously, we were talking about a price per email sent. In which case, I don't really care whether I close the ticket or not, which I can't imagine is the case. Was there a bigger price for closing out a ticket?

Expert 00:25:01
No. Price remained the same.

Client 00:25:06
Got it. If I think about average handle time going down, it's to send more emails?

Expert 00:25:13
Yeah. More revenue towards the company because we're charging per contact.

Client 00:25:20
Got it. Was there an SLA around CSAT? It seems weird that a client would even agree to contract that was about the number of emails sent because if I just send you a bunch of emails that are complete gibberish, **I'll save a lot of money**.

Expert 00:25:37
Yeah, but because the contracts also included conversations. The contract said that "We'll give you 100,000 conversations that are included. After the 100,000 conversations, that's where we'll start pricing additional money." If there was a flat rate of under $25,000 that included the 100,000 conversations, the moment that one conversation went above that, then that's where we start charging that additional price per contact.

Client 00:26:05
Got it. If I think about something like a 100,000 hurdle of free conversations, how is that sized relative to the expectation? Was it like, "We're going to give you your entire volume for free"? I can't imagine so, or was it the first 10%, first half?

Expert 00:26:25
Yeah. It goes back to what I mentioned at the beginning. It grabbed the total amount of annual conversations that are dispatched or are being sent by the client. Based on that, it's just a flat rate. We already know that the client will send us 100,000 conversations to resolve, and we were charging them a monthly rate below $25,000, so we divided that or multiplied that by 12, and that's what was included in the contract. It was more about, "If you send us more conversations than what we actually forecasted, then that's where we're going to start charging you."

Client 00:27:03
Got it. It's just like, "You have your existing volume, which we promised to solve, and then for additional volume, we're giving you a discount."

Expert 00:27:13
Yeah.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Client 00:27:15

Got it. There was a fixed aspect of their price as well. It was if they were paying you, I'm just going to make up a number, $100,000 for that before, they were still paying you $100,000, and then anything beyond that, they were starting to get a discount.

Expert 00:27:33

Correct.

Client 00:27:34

Got it. That's why getting all of this growth, supposedly, was by getting clients to put more volume towards you, you were going to be able to drive revenue growth, but then what happened was you couldn't actually handle the volume, which started blowing everything up.

Expert 00:27:52

That's correct.

Client 00:27:54

Got it. This is all fitting together much more easily. It was purely volume-based then. Was there any consideration of quality and performance and making sure that you're not just sending empty emails?

Expert 00:28:11

That's the thing because there was also a system that automatically scored interactions. It was a system of ratings or a scale of one to five. If there was a CSAT of one or two, **it was considered poor CSAT,** and those one and twos were not part of the included conversations if you want to call it that way. Those conversations were practically free because we didn't meet the quality or CSAT standards that the client was expecting.

Client 00:28:39

Got it. What was the tool being used for QA?

Expert 00:28:45

It was the internal tool created by the company. It automatically graded the ticket.

Client 00:28:51

Got it. This was a part of the client conversation, I imagine. Were they already using the QA tool or was this a part of the new conversation of, "Hey, check out this tool. Here's how we're performing, and this is going to be a part of our proposal"?

Expert 00:29:07

They were using AI tools, really, because we had the QA associates or managers that were doing the QA itself. It was more a rubric kind of a thing, and then once it got converted, that's where the AIQ tool was also part of the contract.

Client 00:29:22

Got it. Do you know how well that went with clients to move from the rubric and manager-based approach to an AI one?

Expert 00:29:31

It was super smooth, really, because the original rubric was the one that was used. The original rubric was the one that was created in tandem between the client and the company. It was more about, "We're just going to have an AI agent that will be using the rubric that we created to score these tickets." It went very, very well.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Client 00:29:53

Got it. If I go back to these conversations, acquisition closed in something like October 2024. It sounds like things moved pretty quickly in terms of wanting to get in front of clients, and that you were signing contracts as early as 2025.

Expert 00:30:11

November, December 2024, we started signing clients.

Client 00:30:17

Okay. October 2024, close. November, contracts. It sounds like all of these had longer implementation than thought. I think the first ones were going online, I don't know, mid-2025?

Expert 00:30:34

Yeah. For some of them that were the very standard e-commerce type of programs, it was just like, "This is the item." "Where's my order?" "Here's a return. Here's a refund." For those types of clients, the AI deployed very well. I would say that there were some that were even deployed in 90 days, so March. For those, it went well because it was very simple type of tasks. It was only email. There was no chat or voice. Where it took longer were those that were omnichannel, and the type of tickets were a bit more sophisticated.

Client 00:31:16

Got it. Actually, to pause on the ones that went well and deployed within 90 days, did those overall go well, or was it because you were handling the emails overall, eventually, the things that didn't fit within returns and refunds started breaking the system? Was it there being a couple that actually ended up doing really well from the very beginning, or were there other problems that started derailing them?

Expert 00:31:41

No. I can think at least of maybe five or six of them that deployed early and have been doing pretty well, but it meets those guardrails that I mentioned, email only and very simple tasks.

Client 00:31:55

Okay. Most of them were more of this complicated, and then what did those look like? Those are the ones that pushed to as late as 2026, they still weren't live.

Expert 00:32:07

It was mainly because of the verticals. We have e-commerce and all that, and the ones that maybe were data entry, tech troubleshooting. Think of it like, I don't know, a smart home type of system where customers called in and said, "My camera is not working." Those type of tickets were the ones that were too intricate for the AI because you had to do a lot of troubleshooting. "Are you connected to the internet? Is Bluetooth on? Are you paired with your phone?" Those were the tickets that were complicated.

Client 00:32:39

Yeah. I'm surprised you even tried to take those on. Those are going to be an entirely different workflow.

Expert 00:32:48

Yeah, there were some times that we were like, "Why are you deploying AI here?" because the knowledge bases were 200 pages just for resolving one specific issue.

Client 00:32:58

Yes. I can see why that would be difficult. Let me go back. You had a lot of things in your initial note, and I wanted to make sure I covered them. Geography, you mentioned LATAM, APAC, and EMEA. Any U.S., or was it really those markets?

Expert 00:33:19

No, there were some in the U.S., but the majority of the volume came from LATAM and APAC.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Client 00:33:25

Got it. I'm guessing that agents were approximately aligned to similar geographies?

Expert 00:33:32

Sorry. Just to go back, the majority of agents were working LATAM and APAC, but I would say that 98% of the client base were clients based in the U.S.

Client 00:33:43

Got it. That makes more sense because I was like, "Wow, entirely LATAM and APAC clients." I have never seen that one.

Expert 00:33:53

It was entirely U.S.-based clients that were doing the offshoring from LATAM and APAC.

Client 00:33:59

Got it. You mentioned e-commerce was one that went well. You also had fintech, SaaS, edtech, and hospitality and food service. Where did those fall in terms of success?

Expert 00:34:12

E-commerce, definitely the first one. I would say hospitality and services went well as well because it was more food delivery system, so it was pretty much tracking my order, "Let's put an order," and all that. For SaaS, fintech, edtech, those were not well.

Client 00:34:32

SaaS, edtech because that's more of the tech support?

Expert 00:34:35

Correct. SaaS was more about, "Here's my software. I need to troubleshoot it." It was marketing agencies, digital services. It took a lot of product knowledge to resolve that.

Client 00:34:49

Got it. Sorry, I don't remember, were you with the PartnerHero team before the acquisition, or did you join with Crescendo?

Expert 00:34:58

I was.

Client 00:35:00

You were with PartnerHero.

Expert 00:35:02

I was there. If we total the tenure from PartnerHero and Crescendo, it was 10 years.

Client 00:35:10

Got it. I'm wondering why they picked PartnerHero as support with such a big volume.

Expert 00:35:17

Yeah. I'll be very honest. **The idea of the product is incredible**. It's exactly what the BPO industry needs. They created this AI product, and they needed a real live environment where to test it. Because of the type of different services that PartnerHero provided, it was the perfect environment to test it, and I would say special emphasis on testing. That is why I believe that.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Client 00:35:44
Got it. They actually wanted the diversity of businesses that PartnerHero had.

Expert 00:35:50
Correct, because that way, they can sell the product as we can deploy AI on all these types of environments.

Client 00:35:57
Got it. You got to test something somewhere. If the test caused a lot of problems, that's to be anticipated almost. It sounds like they didn't really anticipate because it sounds like things really went off the rails, and maybe they bit off a little bit more than they've thought.

Expert 00:36:16
Correct.

Client 00:36:18
Got it. Let me go back to your notes, which are super helpful. Talked about the per FT, talked about convincing customers. Competitive dynamics, there we go. You mentioned Intercom and Zendesk. Can you talk about how you ran into them, what the situation was? Just give me a bit of setup about how you ran into Intercom and Zendesk.

Expert 00:36:45
In terms of competitiveness?

Client 00:36:47
Yup.

Expert 00:36:49
The main issue there was because the clients were already using Intercom and Zendesk as their CRM services. Zendesk and Intercom are offering pretty much the same type of product or service, so AI agents and all that. The clients' reports live on Zendesk and Intercom, so **it's easy for them, but the main competitive advantage** that they have is that in Crescendo side, we required an API key to access reporting and all that. **The clients were a bit more hesitant and apprehensive of giving that API key**. They were more of like, "Okay, but if Zendesk, Intercom, Fin, and all this already provide these services, why should we go with you?" Crescendo was like, "Because we give a 50% discount if you do it."

Client 00:37:39
Got it. That is interesting to me because they provide the software, which is all well and good, but you've actually been providing the services for a long time. I would think that **you had a strong relationship with the client**, where they would be inclined to trust you. Can you help me understand that balance a little bit more, and how the incumbent software providers like Intercom and Zendesk were able to take so much mind share for the client?

Expert 00:38:10
I think because of the historical context and knowledge about the categories of tickets, routing, rules, and all that, **it's easier** for an Intercom and Zendesk to deploy AI agents because they already have all the context of what it takes to support that client, whereas we have to get the reports of from Zendesk. If we don't have access to them, **it's pretty much a wrong call**.

Client 00:38:33
Got it. Did you ever lose to them?

Expert 00:38:37
Yeah.

Client 00:38:38
You have an existing client base. How often would you say you lost?

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Expert 00:38:43

I'm not sure. I'm really not sure because that was a bit more from other departments. Right off my top of my head, I can tell you about maybe two or three times where I was aware that happened, but my role was more in ops and not necessarily in sales and all that. I was part of the call because of my position, but I wasn't precisely aware of how many times **we lost to these competitors**.

Client 00:39:07

Maybe a different way to approach it, I'm just going to make it up, **Crescendo bought PartnerHero, a company with, again, making up the number**, 100 clients. How many would you say got converted over to the outcomes-based or volume-based pricing out of the, let's say, 100%?

Expert 00:39:25

I'd say that's somewhere around 50%-60%.

Client 00:39:29

Got it. The rest just continued working with PartnerHero as they did before.

Expert 00:39:36

Correct.

Client 00:39:37

Got it. Sounds like those are the ones **that ended up with a higher margin and customer satisfaction at the end of the day**.

Expert 00:39:46

Yes.

Client 00:39:47

Got it. The incumbents were really important in the space. Was anyone else in the dialogue? In my original questions I mentioned Anthropic, Sierra. Did you even hear about them, like OpenAI, in conversations.

Expert 00:40:06

In the sense of, I talked directly with them, or if I was aware that the team was talking with them?

Client 00:40:12

Yeah. When we do research in the space, you, obviously, read a lot about OpenAI and Anthropic. Sierra raised a whole big pile of money, so they make a lot of noise. We always see them anytime we look at the industry. I'm curious, for someone who is actually in the industry, what was your perspective other than Intercom and Zendesk? What other names were talked about or in conversations, or relevant to the customer or to you?

Expert 00:40:41

I can think about Kodif and Decagon, I think is their name.. I heard about Kodif and Decagon. I am aware of maybe two or three scenarios where we were competing directly with them to get the contract off of a client. Out of those two or three scenarios, I would say that we won maybe two of them, but more about the pricing that we were offering more than anything.

Client 00:41:04

What would their pricing even be? They don't have a call center, so they're saying they're going to automate some calls and they're going to charge a certain amount of money versus you're saying that effectively, because there's more volume, you're also charging a certain price for the calls?

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Expert 00:41:23

Correct, because we already have the staff, we already have the associates and teams that know the product and all that. **That's where there's a competitive advantage**. At the same time, the product that **we are offering is not as robust as the AI product** that maybe other companies might offer. That's where **it gets a bit more tricky**.

Client 00:41:43

Interesting. Competitive advantage, obviously, you're already up and running, but do you know more of how they failed? I am thinking you have a very cost-effective staffing model, but they're only running software, so how are **they losing on price**? Software should still be cheaper than people.

Expert 00:42:03

That assumption is correct, but yet, **we were still lowering the prices**.

Client 00:42:08

Interesting. That was before going to crazy 40% discounts. This was still more of the 10%-20% level of marking up associate by 2X.

Expert 00:42:19

Yeah.

Client 00:42:20

Interesting. Sounds like they tried to charge a lot of money. You're using software. What are they doing? You've heard of Decagon. What was the other one? Could you spell the name for me?

Expert 00:42:37

K-O-D-I-F.

Client 00:42:40

I have never heard of this company.

Expert 00:42:43

They're very good. It's a small one, but they're very, very good.

Client 00:42:49

Interesting. I will look into them. They were helping, this sounds like, mostly on the email side.

Expert 00:42:58

Yeah, containment, ticket routing, deflection, and all that.

Client 00:43:03

Interesting. You say they're very good. You've actually used their product or heard of them?

Expert 00:43:10

That's correct, both.

Client 00:43:12

Got it. Let me go back to the notes, and I know we've got about five minutes left. Maybe I'll continue on that point of the names. It sounds like the ones that you ran into were Zendesk, Intercom, Decagon, and Kodif. Do any other names come up more broadly that you think about?

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Expert 00:43:32
I would say Fin AI. That was another one that I heard a lot.

Client 00:43:37
That's Intercom.

Expert 00:43:40
What else? Pretty much those.

Client 00:43:44
Got it. Anything else that you feel I should ask or know? I know we've covered a lot, but you're the one who actually got to live this for a very long time, so you have a lot of insight.

Expert 00:43:57
No. I would say that we've covered pretty much everything. The only thing that I would mention is that if the firm is interested in deploying AI or doing some type of work, definitely, the ones that have the most knowledge are ops and all **that know the client's struggles** in and out. They are the ones that can actually say, "This ticket can be automated. This ticket requires a bit more process," this and that.

Client 00:44:24
It sounds like the advice there is, "Make sure you listen to the ops person," which didn't entirely happen in this case.

Expert 00:44:30
That's correct.

Client 00:44:33
I wish they had. It sounds like things would have gone a lot more smoothly. They're doing more of a reset, refocus internally, see if they can fix everything. How was the vibe when you left? Were people down? Did it feel like **the company was on a downward trajectory**? Did it feel like stability and maybe the beginnings of recovery?

Expert 00:44:56
It was dark. I think that's the most appropriate word. It was a bit dark.

Client 00:45:02
Not really optimistic. A little bit more stable, but more in the sense of at least **you're not falling off a cliff as quickly, but still downward trajectory**.

Expert 00:45:13
Correct. We now are pushing the brakes, and we know that the cliff is incoming, yet we're not steering the wheel away from the cliff. We're just pushing the brakes.

Client 00:45:23
That is dark. That is very dark.

Expert 00:45:28
We know there's a cliff, and we're not steering away from it. We're just not going quickly towards it.

Client 00:45:35
Got it. It's been really helpful speaking with you. Very thankful we were able to speak today.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.